Cyient DLM Ltd

Concall Tracker · Quarter filed: Q1 FY27 (Q1-2027) · Prepared 24 Jul 2026 · Standalone full read (no prior report)

What the business does: Cyient DLM is an electronics manufacturing services (EMS) company — it designs and builds electronic circuit boards, wiring harnesses, boxes and sub-assemblies for other companies' high-reliability products. It focuses on demanding sectors: aerospace, defence, industrial, medical and (increasingly) automotive. It makes money two ways — "build-to-print" (make exactly to a client's design) and the higher-value "build-to-spec / B2S" (Cyient designs the product too). Carved out of parent Cyient Ltd and listed in July 2023; in October 2024 it bought Altek Electronics, a US (Connecticut) EMS firm, adding a US footprint.

1. Snapshot

Metric	Value	Plain-English read
Market cap	₹5,323 cr	What the whole company is worth on the market (~₹670/share).
FY26 revenue (standalone, India)	₹943 cr	Total India-entity sales — **down ~30%** from ₹1,345 cr in FY25. A trough year (see below).
FY26 revenue (consolidated, incl. US)	₹1,261 cr	Group sales including Altek US — down ~17%. Altek cushioned the India fall.
FY26 net profit (standalone)	₹56 cr	Profit left after all costs; ~6% of sales. Held up better than revenue on cost discipline.
Operating margin (OPM)	~11%	Operating profit as a share of sales — near a record despite lower volume.
Borrowings (Mar 2026)	₹50 cr	Almost debt-free — cut from ₹196 cr a year earlier. Low financial risk.
Stock P/E	86x	Price is 86x annual earnings — a rich valuation that already prices in a strong recovery.
ROCE / ROE	8.8% / 5.8%	Return on capital and equity — modest right now; depressed by the FY26 revenue dip.

Note on two sets of numbers: Screener's annual/quarterly figures are the *standalone* (India) entity; management on the calls speaks to *consolidated* group figures that include Altek (US). The two differ by roughly ₹250–320 cr a year. This report flags which is which throughout.

2. Concall coverage

Full first-time read of the company's entire listed history — **13 earnings calls, Q1 FY24 (Jul 2023) through Q1 FY27 (Jul 2026)**, spanning three years. No prior tracker report exists for this company, so all calls were read.

Period	Call date	Read?	One-line marker
Q1–Q3 FY24	Jul–Oct 2023, Jan 2024	Yes	Post-IPO; aerospace & defence ramp; order book already flat.
Q4 FY24 (FY24 FY-end)	23 Apr 2024	Yes	FY24 revenue ₹1,192 cr (+43%); double-digit margin hit in Q4.
Q1–Q3 FY25	Jul, Oct 2024, Jan 2025	Yes	Altek (US) acquired Oct 2024; organic growth slowing; order book drifting down.
Q4 FY25 (FY25 FY-end)	22 Apr 2025	Yes	Big Indian defence (BEL) order ends; "soft start to FY26" flagged.
Q1–Q3 FY26	Jul, Oct 2025, Jan 2026	Yes	Revenue slump; "SET" strategy coined; recovery repeatedly promised for Q4.
Q4 FY26 (FY26 FY-end)	21 Apr 2026	Yes	Trough year confirmed; Q4 growth promise **missed**; record order book.
Q1 FY27 ★	**21 Jul 2026**	**Yes (deep-read)**	**Recovery arrives: +34% YoY; highest-ever order book.**

★ Latest concall highlights — Q1 FY27 (call 21 Jul 2026)

- **Sharp recovery, as promised.** Consolidated revenue ₹373.8 cr, **up 34.3% YoY** (from ₹278.4 cr) — the first clean YoY growth quarter after a year-long slump.
- **Profit rose faster than sales.** EBITDA (operating profit) ₹39.2 cr, up 56.2%, margin 10.5% (+147 bps) — the 4th straight double-digit-margin quarter. Net profit ₹16.3 cr, more than doubled (+118% YoY); net margin 4.4%.
- **Record order book.** Backlog ₹2,598 cr — highest ever; order intake ₹552 cr with a healthy book-to-bill of 1.5x (won ₹1.50 of new orders for every ₹1 billed). Two new client logos added (industrial, auto).
- **Growth engine = aerospace + industrial.** Aerospace 42% of revenue (+40% YoY), industrial 32% (+90%), medtech 16% (flat), defence 9%. Honeywell aerospace programmes to ramp over ~18 months; expansion of the build-to-spec lab (6,000 → 15,000 sq ft) and a Nadcap aerospace certification completed at Mysore.
- **Tone: confident, "turnaround complete."** Chairman thanked the CEO for "beautifully turning around the business"; new growth lanes (AI data centres, robotics, semiconductor equipment) still early — "we'll update in 2–3 quarters." Cash flow still a watch item: working capital elevated (inventory 162 days) as the company pre-stocks materials against the West Asia disruption.

Business mix & capacity (quick-glance)

Domestic vs export: Q1 FY27 geography mix — **Rest-of-world ~94% / India ~6%** of revenue. *Plain read: this is an almost entirely export business, which is exactly why global supply-chain and West Asia disruptions hit it so hard in FY26.*

Product mix: circuit-board assembly (PCBA) 48%, box-build 21% (+85% YoY), mechanical 10%, cables 1%, plus build-to-spec. *Read: still mostly assembly work, with higher-value box-build and B2S growing.*

Capacity utilization: last stated at **~55–60%** (through FY26; not restated on the Q1 FY27 call). Management repeatedly says it can **roughly double revenue with no major new capex** (capacity runs ~1.75–2x revenue). *Read: plenty of headroom to grow output before new plants are needed.*

3. Earning-trigger thesis

★ The core thesis

The headline driver is a **recovery from the FY26 trough powered by a record ₹2,598 cr order book**. FY26 revenue fell because one large Indian defence (BEL) order ran off and the West Asia war disrupted this heavily export-dependent supply chain. That backlog has now rebuilt to an all-time high, book-to-bill has stayed above 1.5x for over a year, and Q1 FY27 has finally converted it into +34% YoY growth. On top of this near-term rebound, management is pursuing a staged "SET" strategy (**S**trengthen the core, **E**xpand into semiconductor capital equipment / AI data centres / robotics in FY27–29, **T**ransform into own-IP build-to-spec products from FY30) intended to lift group EBITDA margin from ~10% today toward 13–18% over the decade. The near-term recovery trigger is concrete and now showing evidence; the higher-margin adjacencies are real in ambition but still unproven.

Trigger	What management said	Evidence so far	Horizon	Strength
Record order book converting to revenue	₹2,598 cr backlog, book-to-bill ~1.5x for the year; recovery to YoY growth.	Q1 FY27 delivered +34% YoY after a year of declines. Real, but only one quarter post-trough.	Now–FY28	Moderate–Strong
Aerospace & defence programme ramp	Deep moat with Honeywell, Thales, Safran, BAE; Honeywell ramp over ~18 months.	Aerospace already 42% of revenue, +40% YoY in Q1 FY27; multi-year programmes won.	12–24 months	Moderate–Strong
Build-to-spec (B2S) own-IP products	Lifts margin +250–300 bps; grows from ~5% to double-digit share; eVTOL (SkyDrive/Japan), Deutsche Aircraft.	B2S revenue has just begun; mass production only from FY28. Promising but early.	FY28+	Unproven
Semiconductor equipment + AI data centre / robotics	New "Expand" lanes, target margin 11–13%; large TAM ($625bn → $1.1tn by 2033).	Sales team just hired; no orders disclosed; "update in 2–3 quarters." Aspiration only.	FY28–29	Unproven
Altek (US) hybrid model / tariff & ITAR hedge	US footprint for "Made in USA" localisation and US defence (ITAR) access.	Cushioned FY26 group decline — but Altek's earnout targets were **not met** and were reversed.	Ongoing	Moderate

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24–25	"~30% revenue CAGR" over three years.	Softened to "guidance with variability," then FY26 revenue fell 17% (group) / 30% (India).	Missed
FY24–25 (repeated)	Order book "will improve in H2."	Declined ~7 straight quarters to ₹1,851 cr — before finally rebuilding to a record in FY26.	Missed → later recovered
FY25	Double-digit EBITDA margin, sustainable.	Dipped to ~8% mid-FY25, but full-year FY26 landed at 10%+ for the first time across the group.	Delivered
Q1–Q3 FY26	"YoY growth returns by Q4 FY26" (stated three calls running).	**Missed** — Q4 FY26 was –13.8% YoY. The single clearest broken promise.	Missed
FY26	Turn operating cash flow positive.	FY26 operating cash flow +₹52 cr (vs negative prior two years).	Delivered
Oct 2024	Altek acquisition to hit earnout / be EPS-accretive.	Diversification delivered, but earnout conditions **not met** and reversed; a second M&A deal was abandoned (₹1.8 cr written off).	Partly
Q3–Q4 FY26	FY27 "far, far better," ~20–25% growth, YoY growth all four quarters.	Q1 FY27 delivered +34.3% YoY — on track so far.	On-track

Narrative drift. The story has drifted meaningfully. The *explanation for the FY26 slump* shifted call-by-call: from "the big BEL defence order simply completed" (Q4 FY25, no mention of Israel) → "temporary Israel–Iran freight/logistics delays" (Q1 FY26) → "Israel is a key market with a significant impact on revenue" (Q2 FY26) → "tariff wait-and-watch and holiday push-outs" (Q3 FY26) → "West Asia war material delays plus a memory-chip shortage" (Q4 FY26, used to explain the *missed* Q4 growth promise). The *forward growth vector* also migrated: tariff/China+1 + Altek (FY25) → build-to-spec / EV / eVTOL (H1 FY26) → AI data centres (Q3 FY26) → semiconductor capital equipment + AI infrastructure (Q4 FY26). And there was governance churn during the downturn — the CEO changed (Q1 FY26) and the CFO changed (Q3 FY26). On the other side of the ledger, margins, book-to-bill (>1 every quarter), the near-debt-free balance sheet and cash generation held up, and the long-promised recovery has, at last, shown up in Q1 FY27.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a concrete, live driver — a record order book that has just converted into +34% YoY growth after a painful trough, backed by a genuine aerospace moat (Honeywell, Thales, Safran). That is real and now showing evidence. But it is only *one* strong quarter after the company badly missed its own recovery timeline just one quarter earlier; the business is ~94% export-dependent and therefore highly exposed to the same geopolitics that caused the slump; and the higher-margin future lanes (semiconductor equipment, AI data centres, robotics, own-IP B2S) are still aspiration, not order book. A strong "maybe": the recovery is credible, its durability is not yet proven.

Management consistent? → MAYBE

Genuinely mixed. Management delivered on margins (first full-year 10%+), cash flow, order intake and a near-debt-free balance sheet, and finally on the recovery itself. But the record also shows a clearly broken promise (YoY growth "by Q4 FY26," repeated three times, then missed), a 30% CAGR target quietly dropped, an order book that stagnated for ~7 quarters, an acquisition earnout that failed and a second deal abandoned, a shifting explanation for the downturn, and CEO + CFO changes mid-slump. They never gave hard numeric guidance and were reasonably candid in disclosure, which stops this being a "No" — but the pattern of over-promising recovery timing and re-pointing the growth story keeps it firmly at "maybe," leaning cautious. FY27 delivery will decide whether it earns an upgrade.

Sources: Cyient DLM Ltd earnings-call transcripts Q1 FY24–Q1 FY27 (13 calls, via Screener.in) and Screener.in financial snapshot. Figures are as stated by management (consolidated) or Screener (standalone), flagged where relevant. **This is not investment advice. Do your own due diligence.**